

\$1 trillion

was the country's gross domestic product in 2007, way above from \$318 billion in 1991

\$274 bn

is the amount of foreign exchange reserves that India has today compared to \$1.2 billion in 1991



AP PHOTO RAJESH NIRODIA

Mumbai-Delhi is not choosing between a delayed IA flight or the would-be delayed flight but between a dozen different airlines, from Kingfisher to Deccan.

But there was another India that lived in a mythological age. When the government believed that a market and thus an economy was simply the sum of what they would say the demand would be and what therefore the supply should be, to deliver a value add called the GDP. The government knew best and anyone who differed or even begged to differ was a CIA agent or worse, anti-national. In those quota queue days, the right to sell Modern sliced bread fetched a premium. When a girl child was born in the house of businessmen in Karol Bagh or Ulhasnagar, he booked a Bajaj Scooter at Rs 250. Six or eight years later their turn would come and the premium on the scooter or the booking amount would be worth Rs 3,000 or more, depending on where you lived, farther or closer to a metro city. The joke doing the rounds then was that Bajaj part-paid the dowry at many a wedding. In those days, politicians sent their

LOOMING TOWERS: Dalal Street has become a symbol of India shining

daughters away with a scooter, car or cement dealership to ease her life at the new address.

So how did it all change? How did India escape from the bear hug of *mai-baap-sarkarism* to embrace free market capitalism? The big bang theory is that India was caught with dollars to pay for just three days of imports and had to virtually beg for help and pledge 42 tonne of its gold reserves with the Bank of England for a measly \$405 million. The lie that India's policy-makers and politicians lived consumed them, and advised by multilateral agencies and faced with no options, they threw licence raj out of the window. The truth is a bit more mellow and serendipitous. Manmohan Singh, the then finance minister, quoted Victor Hugo, "No power on earth can stop an idea whose time has come." In a sense, he referred to the coming together of fortuitous elements. After all, the idea of an India without licence raj, an India with economic freedom was discussed from the times of the Constituent Assembly. It was debated at public forums by eminent lawyers such as Nani Palkhivala and by economists such as Jagdish Bhagwati. It was presented by V.P. Singh as finance minister in 1986 when he pointed out that India couldn't live the lie any longer, then by a committee headed by S. Venkitaraman in 1987 and in a paper authored by Montek Singh Ahluwalia in 1989. But even Rajiv Gandhi with his brutal majority couldn't dare take on the vested chimneys of the economy.

So the idea was always there, the need—witnessed in shortages and corruption—was very visible but what was different was, no, not the crisis but the political opportunity. Prime minister P.V. Narasimha Rao made it a reality by first choosing Manmohan Singh and then backing him to the hilt. The duo abolished licences, opened imports, cut tariffs and made the rupee convertible. You could choose your output, your input, your market and your income. Successive governments brought down local levies, cut taxes on income and freed companies to operate globally. The alchemy of a political master who saw no downside, an economist's comprehension of the potential of the economy and the circumstance of penury triggered the most significant economic, no, political revolution seen in over 500 years. ■

P.V. NARASIMHA RAO, prime minister, 1994

"There is no doubt now that our reforms are irreversible."